

whom, a year or so later, was to offer me a junior partnership, were quite experienced and able practitioners of this rather questionable art.

Manipulation was not the objective of the operators of this Food Machinery pool, however. As the autumn of 1929 was to arrive and stocks were to face the precipice that lay ahead, the pool managed to buy for itself most of the shares that had been offered to the public. Although the quoted price of the Food Machinery shares at the peak was in the high 50's, there was very little stock in the hands of the public as a result.

As in each of the succeeding years the general level of business activities worsened relative to the year before, it was obvious what was to happen to the flotsam and jetsam of small companies that went public in the 1928 excitement. One after another of these companies passed into bankruptcy, with many of the remainder reporting losses rather than profits. The market for the shares of these firms largely dried up.

There were one or two companies in this group other than Food Machinery that were fundamentally both sound and attractive. However, the general public showed no discrimination whatsoever, considering all of them little more than speculative junk. By the time the market was to reach its final low in 1932, and again equal that low at the time of closing of the entire banking system of the country coincidental with the inauguration of Franklin D. Roosevelt on March 4, 1933, Food Machinery shares were down to a price of between \$4 and \$5, with the all-time low being 100 shares at \$3¾.